(v) To issue bonus shares and for reorganization of share capital

(vi) To contribute money for charitable purposes exceeding ₹50,000 or 5% of the average profits of 3 years whichever is greater.

Other Powers

(i) Power to fill casual vacancy

(ii) Power to appoint the first auditor of the company

(iii) Power to appoint alternative directors, additional directors and Key managerial personnel.

(iv) Power to remove Key managerial personnel

(v) Power to recommend the Interim and final dividend to shareholders.

(vi) Power to declare solvency position of the company.

(vii) Power to make political contribution

27.13 Rights of Director

Rights can be categorized into individual rights and collective rights.

Individual rights are such as

(i) Right to inspect books of accounts

(ii) Right to receive notices of board meetings

(iii) Right to participate in proceedings and cast vote in favour or against resolutions

(iv) Right to receive circular resolutions proposed to be passed

(v) Right to inspect minutes of board meetings.

Collective rights are as follows

(i) **Right to refuse to transfer shares:** Directors of private companies and deemed public companies are entitled to refuse registration of transfer of shares to a person whom they do not approve.

(ii) **Right to elect a Chairman:** The directors are entitled to elect a chairman for the board meetings.

(iii) **Right to appoint a Managing director:** The Board has the right to appoint the managing director/ manager of the company.

(iv) **Right to recommend dividend:** The Board is entitled to decide whether dividend is to be paid or not. Shareholders cannot compel the directors to pay dividend. However they can reduce the rate of recommended dividend. Payment of dividend is the prerogative of the board

27.14 Duties of Director

Directors act as agents of the shareholders and act as a trustees of shareholders. Thus they have a fiduciary duty to protect the property of the company. Simply stated the following are the duties of Directors.

Collective Duties of Directors: Directors as a part of Board perform certain duties collectively. The following are some of those duties exercised collectively:-

(i) Approval of annual accounts and authentication of annual accounts

(ii) Directors report to shareholders highlighting performance of the company, transfers to reserves, investment of surplus funds, borrowings

(iii) Appointment of First Auditors

(iv) Issuance of Notice and Holding of Board meetings and shareholders meetings

(v) Passing of resolutions at board meetings or by circulation.

General duties of Directors:

(i) Structuring or new policy to reach the objectives of a company.

(ii) Delegating power to any committee if the Articles Permits for well being of the company

12th Commerce Unit 10.indd 254 09-12-2021 12.00.27 PM